increases only with number of units not with value. Let us take the above example: the tax amount will not increase if car price increase from ₹2 lakh to ₹4 lakh if tax of ₹10000 per car is imposed. Tax revenue will increase only if car sales increase from one to two. The tax revenue will increase from ₹10000 to ₹20000.

In some cases, both types of tax is levied on the same good, e.g. ₹ 10,000 per car plus 10 per cent on the value of car.

Types of Taxes

There are two types of taxes namely,

1. Direct Tax
2. Indirect tax

1. Direct Taxes

If the impact and incidence lies on the same point it is called as direct tax. e.g. income tax levied on 'X' person paid by the same 'X' person.

Direct taxes are progressive in nature in India and all over the world and are highly elastic in nature.

Income Tax (Personal income tax)

It is a tax on the personal income of the individuals, Hindu Undivided Families (HUFs), partnership firm, etc.

Corporate Tax

It is levied on the company's profit income. There is no separate tax called corporate tax. It is also income tax. But the contribution of tax from corporate to the income tax is large. So it is shown in separate head.